

Course Code:

AIS 4205

Course Title:

Accounting Information Systems

Text Book:

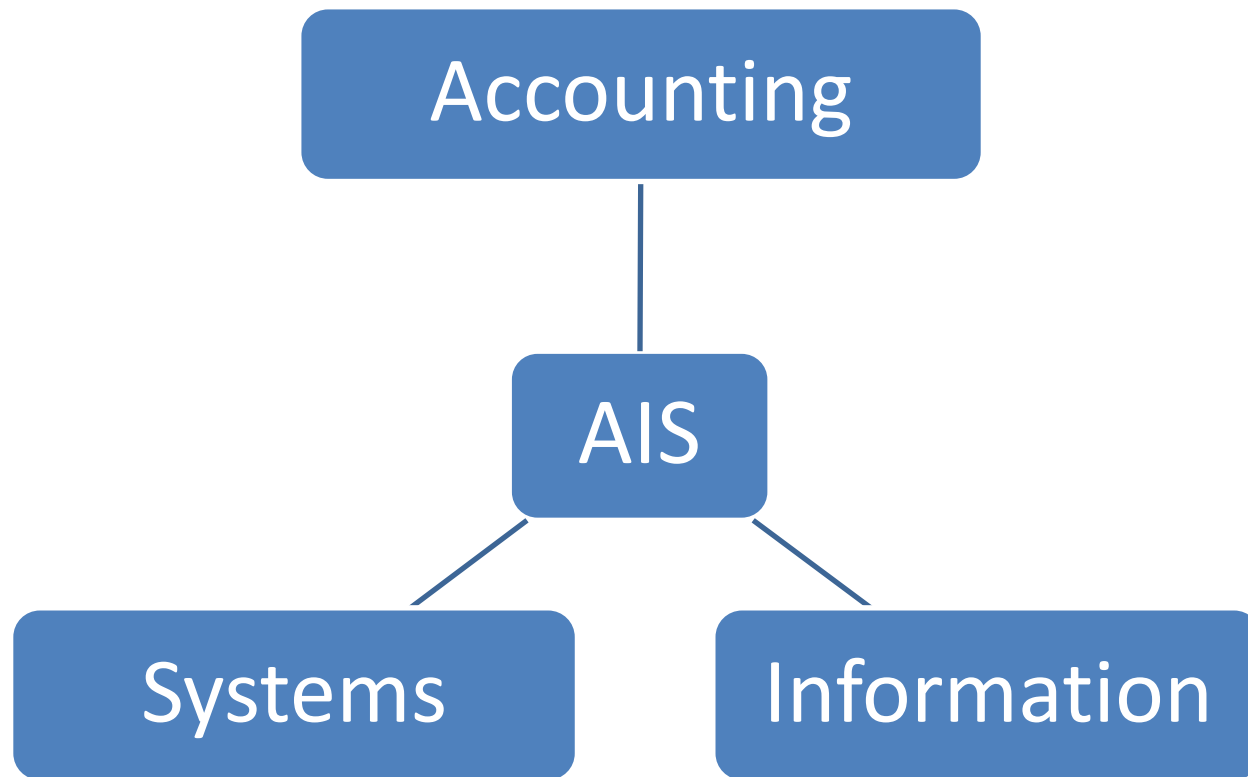
Accounting Information Systems, Essential Concepts and Applications: **Wilkinson**, Cerullo, Raval, Wong-on-wing Publisher: John Wiley & Sons.

Reasons for Studying Accounting Information Systems

- As an accountant, you will work with Accounting Information Systems throughout your career. You will use these systems regularly, and you may also help in designing or improving them. If you become an auditor, you must be able to examine and evaluate AIS to ensure they work correctly.
- Today, almost all businesses use computers as an important part of their information systems. As business information becomes more important, managing data and preparing reports has become more complicated. Learning AIS helps you gain the skills needed to use computer-based systems effectively. Without this knowledge, you may not be able to use your accounting skills efficiently and your productivity may be lower.

- Modern information systems are changing and improving very quickly. They now use new technologies such as the Internet, e-commerce, object-oriented technology, telecommunications, and control systems. It is important to know about these new developments because they will be used more and more in the future. With proper knowledge and skills in computer-based information systems, you can take advantage of the many opportunities these technologies provide.

Accounting Information Systems :



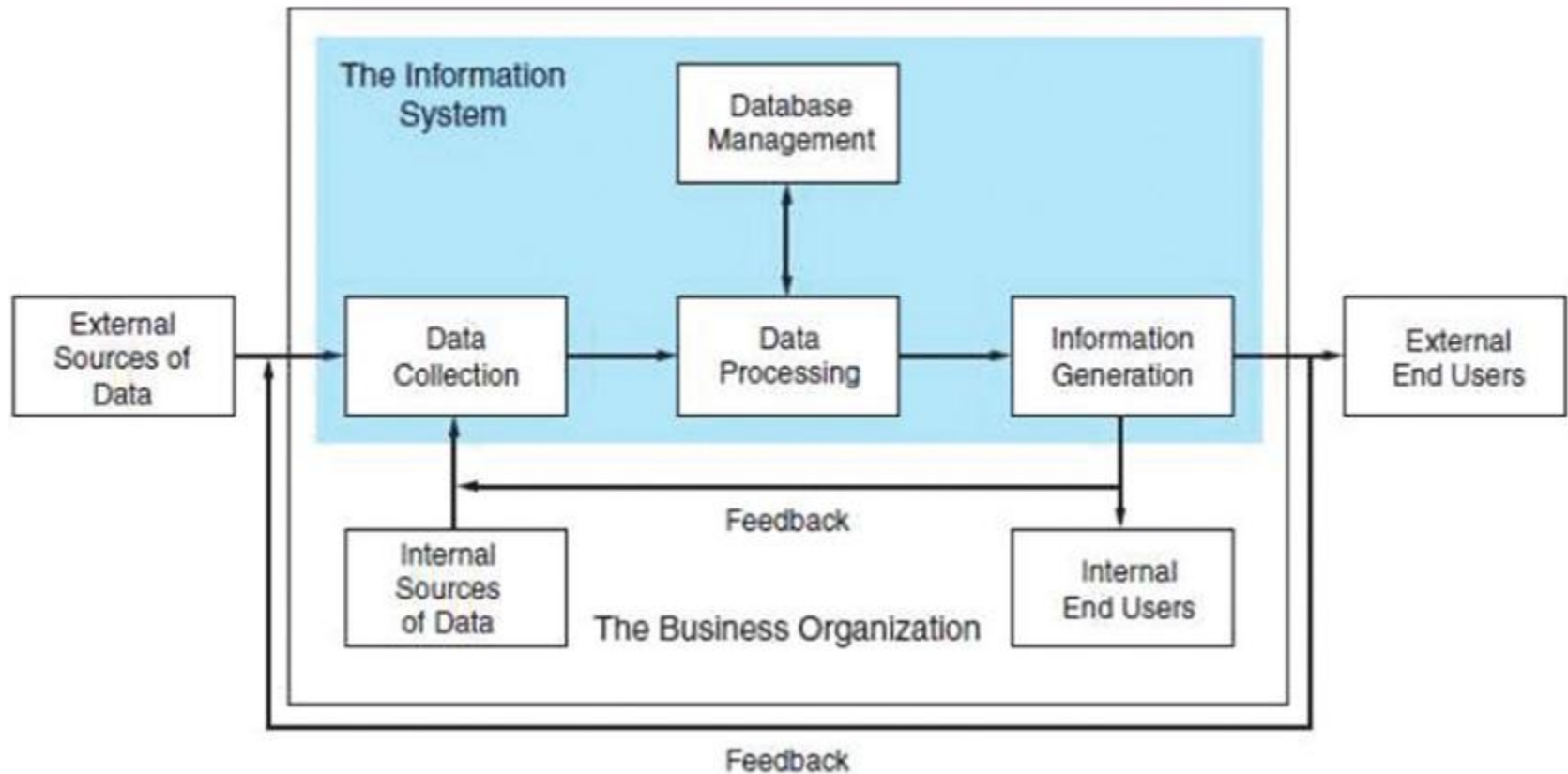
Accounting

Accounting involves identifying, collecting, and storing data, and also measuring, developing, and sharing information. Therefore, accounting is an information system because an Accounting Information System (AIS) collects, records, stores, and processes accounting and other data to provide useful information for decision-making.

Information

In simple terms, information is meaningful and useful knowledge for the people who use it. Accounting information is the financial data that is collected, processed, and presented by an accounting system to help users make decisions. It includes details about a business's income, expenses, assets, liabilities, and profits. This information is used by managers, owners, investors, creditors, and other users to plan, control, and evaluate business activities.

Operations within the accounting activity



Systems

A system is a unified group of interacting parts that function together to achieve its purposes. The world is brimming with systems, those that are natural and those made by humans. Most systems are composed of smaller subsystems that support the larger system. For example, a college of business is a system composed of various departments, each of which is a subsystem. Moreover, the college itself is a subsystem of the university.

Accounting Information Systems

An Accounting Information System (AIS) is a system that collects, records, stores, and processes accounting and financial data to produce useful information for decision-making. It helps an organization track transactions, prepare financial reports, and control business operations.

Key functions of AIS

1. Collects accounting data
2. Records business transactions
3. Stores data safely
4. Processes data into reports
5. Provides information for decision-making

Objectives of AIS

- ✓ **To support day-to-day operations**

AIS helps a business record daily transactions such as sales, purchases, and payments smoothly and accurately.

- ✓ **To support internal decision-making**

AIS provides useful financial information to managers so they can plan, control, and make better business decisions.

- ✓ **To fulfill stewardship responsibilities**

AIS helps management show that they are using the company's resources properly by preparing accurate financial reports for owners and other stakeholders.

An Information Systems Framework

An information system is a set of organized procedures used to collect data, process it into useful information, and distribute it to users. In a manufacturing company, the information system can be divided into smaller subsystems.

From this division, two main types of systems can be identified:

Accounting Information System (AIS)

Management Information System (MIS)

The information system receives inputs, called transactions, which are processed and then converted into output information for users. Transactions are of two types:

Financial transactions (e.g., sales, purchases, payments)

Non-financial transactions (e.g., production quantity, employee hours)

A transaction is any event that affects or is important to the organization and is handled by the information system as a single unit of work.

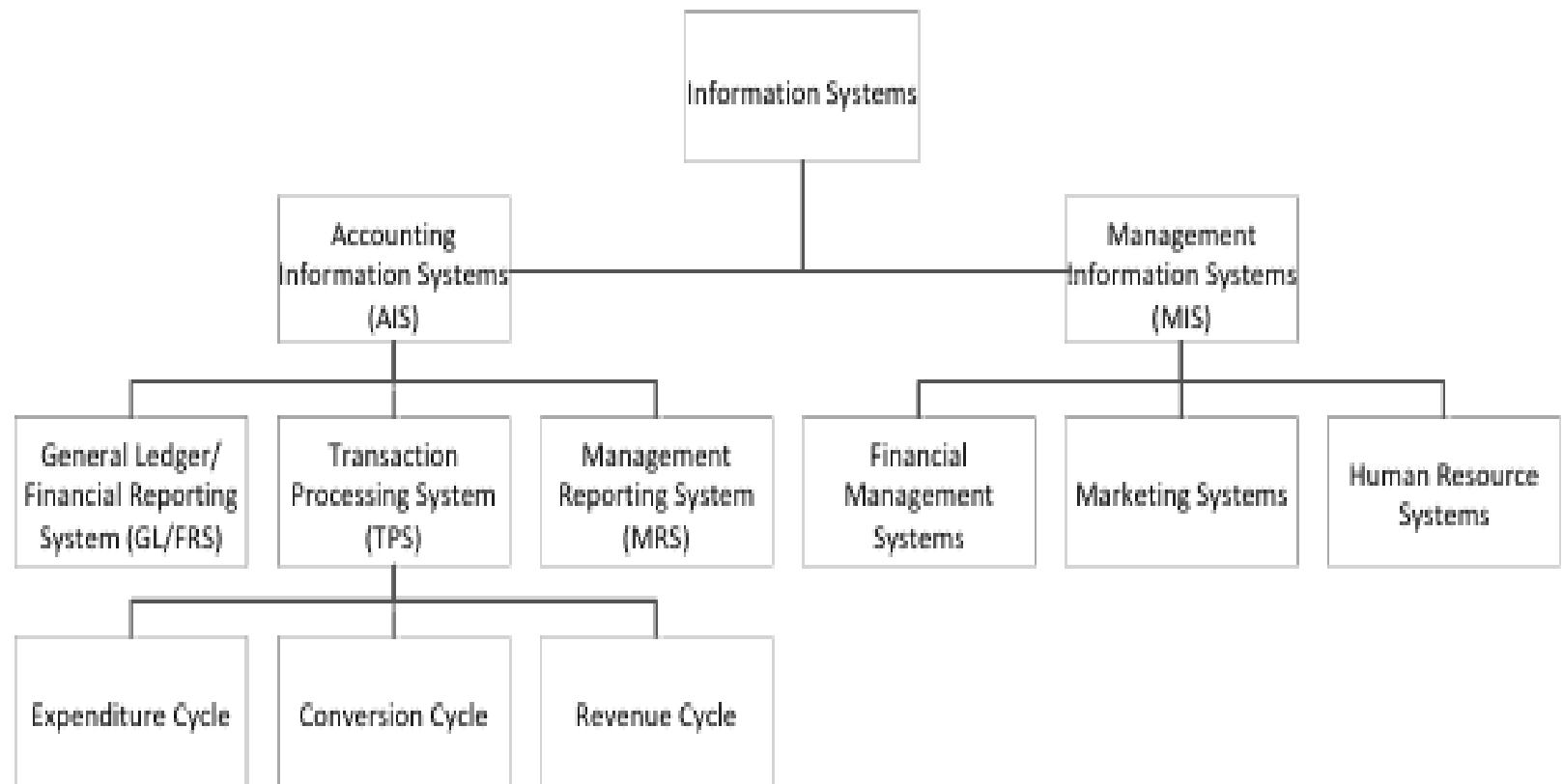


Figure 2: A Framework for Information Systems of a hypothetical manufacturing firm

The Management Information System (MIS)

A Management Information System (MIS) is a system that collects, processes, and provides information to managers to help them plan, control, and make decisions in an organization. MIS mainly focuses on internal management needs and uses information from both accounting and non-accounting sources.

Main features of MIS

- Supports management planning and control
- Helps in decision-making
- Uses both financial and non-financial information
- Provides reports for managers